



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

HB 2402: ambulance services; certificates of necessity

WILLOUGHBY FLOOR AMENDMENT

1. Clarifies the ambulances that are responding to a natural disaster, rather than an emergency, are exempt from statutory regulations relating to emergency medical services.
2. Revises the information that an ambulance service must provide to DHS relating to dispatched ambulances.
3. Removes, as a condition for issuing a certificate of necessity for a geographic area that is not within the service area of a certificate of necessity to a city, town or fire district or a private ambulance service to provide ambulance services to that geographic area, the current certificate of necessity holder has not met the requirements of the certificate for at least 6 months.
4. Adds separate conditions for allowing DHS to issue a certificate of necessity to a city, town or fire district or private ambulance service to provide ambulance services to a geographic area, including that a current certificate holder has not met the certificate conditions for at least 12 months.

WILLOUGHBY FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2402
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 36-2208, Arizona Revised Statutes, is amended to
3 read:

4 36-2208. Bureau of emergency medical services and trauma
5 system; annual statewide plan; regional plans

6 A. ~~There is established within the department a~~ THE bureau of
7 emergency medical services and trauma system ~~that is responsible for~~
8 ~~coordinating, establishing and administering~~ ESTABLISHED IN THE DEPARTMENT
9 TO COORDINATE, ESTABLISH AND ADMINISTER a statewide system of emergency
10 medical services, trauma care and a trauma registry.

11 B. This chapter does not prevent any individual, law enforcement
12 officer, public agency or member of a city, town, fire district or
13 volunteer fire department from rendering on-site emergency medical care
14 or, if, in terms of the existing medical situation, it is deemed not
15 advisable to await the arrival of an ambulance, from transporting
16 emergency medical patients to a hospital or an emergency receiving
17 facility, except that if any patient objects on religious grounds, that
18 patient shall not be administered any medical treatment or be transported
19 to a hospital or an emergency receiving facility.

20 C. The director shall develop an annual statewide emergency medical
21 and trauma services plan and submit that plan to the council for review
22 and approval. The statewide plan shall then be submitted to the governor
23 for final adoption. Before submitting the plan to the governor, the
24 director shall accept comments from the authorized local agencies and
25 governmental entities.

26 D. ~~A~~ EACH local emergency medical services coordinating system
27 shall develop a regional emergency medical services plan that includes a
28 needs assessment and SHALL submit the plan to the director, THE SPEAKER OF

1 THE HOUSE OF REPRESENTATIVES, THE PRESIDENT OF THE SENATE and ~~to~~ the
2 authorized local agencies within the area. The DEPARTMENT SHALL INTEGRATE
3 THE regional plans ~~shall be integrated~~ into the statewide plan ~~by the~~
4 ~~department~~.

5 E. The ~~state~~ STATEWIDE plan shall contain a budget component for
6 funding local and state emergency medical services systems from the
7 emergency medical services operating fund established ~~pursuant to~~ BY
8 section 36-2218 based on the needs assessment of the local emergency
9 medical services coordinating system plans. The components shall be
10 included in the department's budget through the normal appropriation
11 process.

12 Sec. 2. Section 36-2217, Arizona Revised Statutes, is amended to
13 read:

14 36-2217. Exemption from regulation

15 A. This chapter does not apply to:

16 1. Vehicles used for the emergency transportation of persons
17 injured at an industrial site.

18 2. Persons engaged in and vehicles used for air transportation of
19 sick or injured people in a noncritical or nonemergency situation as
20 determined by a physician.

21 3. Medical evacuation equipment used and owned by the department of
22 public safety in air, ground or water evacuation, ~~and~~ including fixed wing
23 aircraft, helicopters, ground ambulances and similar ground conveyances,
24 snowmobiles and water traversing equipment.

25 4. Vehicles provided or contracted for emergency medical services
26 by a political subdivision if these vehicles are primarily used to provide
27 on the scene stabilization of sick, injured, wounded, incapacitated or
28 helpless persons.

29 5. Ambulances from other states that are:

30 (a) Responding to a major catastrophe or emergency in this state
31 because there are insufficient registered ambulances in this state to
32 respond in that situation.

33 (b) EITHER operating ~~either~~ from a location outside of this state
34 to transport a patient to a location within this state or operating from a
35 location outside of this state and crossing through this state to
36 transport a patient to a location outside this state.

37 6. REGISTERED AMBULANCES FROM THIS STATE THAT ARE RESPONDING TO A
38 MAJOR CATASTROPHE, ~~[EMERGENCY]~~ [NATURAL DISASTER] OR WILDLAND FIRE EVENT
39 IN THIS STATE BECAUSE THERE ARE INSUFFICIENT REGISTERED AMBULANCES IN THE
40 AREA AFFECTED BY THE MAJOR CATASTROPHE, ~~[EMERGENCY]~~ [NATURAL DISASTER] OR
41 WILDLAND FIRE EVENT.

42 ~~6-~~ 7. Stretcher vans that meet the requirements of section
43 36-2223.

44 B. Except as provided in subsection A, paragraph 5, subdivision (a)
45 of this section, an ambulance from another state shall not pick up a
46 patient in this state and transport that patient to another location in
47 this state unless that ambulance is registered under this chapter.

1 Sec. 3. Title 36, chapter 21.1, article 1, Arizona Revised
2 Statutes, is amended by adding section 36-2220.01, to read:

3 36-2220.01. Ambulance services; information on calls; public
4 availability; civil penalty; definition

5 A. EACH AMBULANCE SERVICE SHALL PROVIDE THE FOLLOWING INFORMATION
6 ON A QUARTERLY BASIS TO THE DEPARTMENT IN A DEPARTMENT-APPROVED FORMAT, AS
7 APPLICABLE:

8 1. THE EMERGENCY MEDICAL DISPATCH CLASSIFICATION FOR EACH CALL FOR
9 SERVICE OR INTERFACILITY TRANSPORT.

10 2. FOR EACH CALL FOR SERVICE FOR WHICH AN AMBULANCE IS DISPATCHED,
11 THE FOLLOWING INFORMATION, AS APPLICABLE:

12 (a) THE DISPATCH TIME.

13 (b) THE STAGING TIME.

14 (c) THE CANCELED TIME.

15 (d) THE ON-SCENE TIME.

16 (e) THE EN ROUTE TIME.

17 (f) THE HOSPITAL ARRIVAL TIME.

18 (g) THE HOSPITAL RELEASE TIME.

19 ~~3. THE DATE, TIME AND DURATION OF ANY INSTANCE IN WHICH AN~~
20 ~~AMBULANCE SERVICE PROVIDER HAS ONLY ONE AMBULANCE AVAILABLE IN A SERVICE~~
21 ~~AREA.~~

22 ~~4. THE DATE, TIME AND DURATION OF ANY INSTANCE IN WHICH AN~~
23 ~~AMBULANCE SERVICE DOES NOT HAVE AN AMBULANCE AVAILABLE WITHIN A SERVICE~~
24 ~~AREA.~~

25 ~~5. THE DATE AND TIME OF ANY REQUEST FOR MUTUAL AID.]~~

26 ~~[6.] [3.] [IF AN AMBULANCE SERVICE PROVIDER MADE A REQUEST FOR~~
27 ~~ASSISTANCE TO ANOTHER AMBULANCE SERVICE PROVIDER.] THE DATE AND TIME [OF~~
28 ~~ANY INSTANCE IN WHICH] AN AMBULANCE SERVICE DECLINED TO PROVIDE MUTUAL AID~~
29 ~~TO ANOTHER CERTIFICATE OF NECESSITY HOLDER AND AN EXPLANATION WHY THE~~
30 ~~[MUTUAL AID] REQUEST [FOR ASSISTANCE] WAS DECLINED.~~

31 ~~[7.] [4.] THE DETAILS OF SUBSTANTIATED COMPLAINTS RECEIVED FROM AN~~
32 ~~INDIVIDUAL OR HEALTH CARE INSTITUTION AS PRESCRIBED IN RULE BY THE~~
33 ~~DEPARTMENT.~~

34 ~~[8.] [5.] THE DETAILS OF ANY MEDICATION ERROR THAT RESULTS IN~~
35 ~~PATIENT INJURY OR PATIENT DEATH.~~

36 ~~[9.] [6.] ANY UNINTENDED INJURY OR HARM TO A PATIENT THAT OCCURRED~~
37 ~~WHILE PROVIDING PREHOSPITAL CARE.~~

38 B. THE DEPARTMENT SHALL MAKE THE INFORMATION RECEIVED PURSUANT TO
39 SUBSECTION A OF THIS SECTION AVAILABLE TO THE PUBLIC ON REQUEST, EXCEPT
40 THAT THE DEPARTMENT SHALL REDACT ANY PERSONALLY IDENTIFYING INFORMATION.
41 THE DEPARTMENT SHALL POST THE INFORMATION RECEIVED PURSUANT TO SUBSECTION
42 A OF THIS SECTION, AS REDACTED, ON THE DEPARTMENT'S PUBLIC WEBSITE.

43 C. IF AN AMBULANCE SERVICE FAILS TO COMPLY WITH THE QUARTERLY
44 REPORTING REQUIREMENTS OF THIS SECTION, THE DEPARTMENT SHALL ISSUE A
45 NOTICE TO COMPLY TO THE AMBULANCE SERVICE WITHIN THIRTY CALENDAR DAYS
46 AFTER THE END OF THE QUARTER. THE AMBULANCE HAS FIFTEEN CALENDAR DAYS
47 AFTER RECEIVING THE NOTICE TO COMPLY WITH THE QUARTERLY REPORTING

1 REQUIREMENTS OF THIS SECTION. IF THE AMBULANCE SERVICE CONTINUES TO FAIL
2 TO COMPLY WITH THE QUARTERLY REPORTING REQUIREMENTS OF THIS SECTION, THE
3 DIRECTOR MAY IMPOSE A CIVIL PENALTY OF NOT MORE THAN \$500.

4 D. FOR THE PURPOSES OF THIS SECTION, "EMERGENCY MEDICAL DISPATCH
5 CLASSIFICATION" MEANS THE STANDARDIZED SYSTEM USED BY EMERGENCY MEDICAL
6 DISPATCHERS TO EVALUATE AND CATEGORIZE EMERGENCY MEDICAL CALLS BASED ON
7 THE NATURE AND SEVERITY OF THE INCIDENT.

8 Sec. 4. Section 36-2232, Arizona Revised Statutes, is amended to
9 read:

10 36-2232. Director; powers and duties; regulation of ambulance
11 services; inspections; response time compliance;
12 mileage rate calculation factors; online portal
13 and dashboard

14 A. The director shall adopt rules to regulate the operation of
15 ambulances and ambulance services in this state. Each rule shall identify
16 all sections and subsections of this chapter under which the rule was
17 formulated. The rules shall provide for the department to do the
18 following:

19 1. Consistent with the requirements of subsection H of this
20 section, determine, fix, alter and regulate just, reasonable and
21 sufficient rates and charges for the provision of ambulances, including
22 rates and charges for advanced life support service, basic life support
23 service, patient loaded mileage, standby waiting, subscription service
24 contracts and other contracts for services related to the provision of
25 ambulances. The director shall inform all ambulance services of the
26 procedures and methodology used to determine ambulance rates or charges.

27 2. Ensure THAT evidence-based quality patient care is the priority
28 for decision-making.

29 3. Regulate operating and response times of ambulances to meet the
30 needs of the public and to ensure adequate service. The rules adopted by
31 the director for certificated ambulance service response times shall
32 include uniform standards for urban, suburban, rural and wilderness
33 geographic areas within the certificate of necessity based on, at a
34 minimum, population density and geographic and medical considerations.
35 The calculation of response times shall begin when the public safety
36 answering point contacts an ambulance service for dispatch and conclude
37 when the ambulance service arrives at the dispatched location. On-scene
38 arrival times for response time measurement shall be documented by the
39 ambulance service using dispatch or global positioning system data, or a
40 combination of both, and kept on file. Response time data that is
41 compliant with the health insurance portability and accountability act of
42 1996 shall be filed annually with the department. When dispatch or global
43 positioning system connectivity is not available, the ambulance service
44 shall manually document on-scene arrival times for response time
45 measurement. The response time data shall be filed in a
46 department-approved format, and the department shall make the response
47 time data publicly available.

1 4. Review response times established pursuant to paragraph 3 of
2 this subsection with the ambulance service and update the response times
3 based on, at a minimum, population density and geographic and medical
4 considerations, and the financial impact on rates and charges, every six
5 years. One additional review each six-year period may be requested by a
6 city, town, fire district or fire authority whose jurisdictional
7 boundaries in whole or in part are within the service area of a
8 certificate of necessity or an existing certificate of necessity holder
9 within the service area of the certificate of necessity.

10 5. Determine, fix, alter and regulate bases of operation. The
11 director may issue a certificate of necessity to more than one ambulance
12 service within any base of operation. For the purposes of this paragraph,
13 "base of operation" means a service area granted under a certificate of
14 necessity.

15 6. Issue, amend, transfer, suspend or revoke certificates of
16 necessity under terms consistent with this article.

17 7. Prescribe a uniform system of accounts to be used by ambulance
18 services that conforms to standard accounting forms and principles for the
19 ambulance industry and generally accepted accounting principles.

20 8. Require the filing of an annual financial report and other data.
21 These rules shall require an ambulance service to file the report with the
22 department not later than one hundred eighty days after the completion of
23 its annual accounting period.

24 9. Regulate ambulance services in all matters affecting services to
25 the public to the end that this article may be fully carried out.

26 10. Prescribe bonding requirements, if any, for ambulance services
27 ~~THAT ARE~~ granted authority to provide any type of subscription service.

28 11. Offer technical assistance to ambulance services to ensure
29 compliance with the rules.

30 12. Offer technical assistance to ambulance services in order to
31 obtain or to amend a certificate of necessity.

32 13. Inspect, at a maximum of twelve-month intervals, each ambulance
33 registered pursuant to section 36-2212 to ensure that the vehicle is
34 operational and safe and that all required medical equipment is
35 operational. At the request of the provider, the inspection may be
36 performed by a facility approved by the director. If a provider requests
37 that the inspection be performed by a facility approved by the director,
38 the provider shall pay the cost of the inspection.

39 B. The director may require any ambulance service offering
40 subscription service contracts to obtain a bond in an amount determined by
41 the director that is based on the number of subscription service contract
42 holders and to file the bond with the director to protect all subscription
43 service contract holders in this state ~~who~~ ~~THAT~~ are covered under that
44 subscription contract.

45 C. ~~At~~ ~~EACH~~ ambulance service shall:

46 1. Maintain, establish, add, move or delete suboperation stations
47 within its base of operation to ensure that the ambulance service meets

1 the established response times or those approved by the director in a
2 political subdivision contract.

3 2. Determine the operating hours of its suboperation stations to
4 provide for coverage of its base of operation.

5 3. Provide the department with a list of suboperation station
6 locations.

7 4. Notify the department not later than thirty days after the
8 ambulance service makes a change in the number or location of its
9 suboperation stations.

10 5. ~~Beginning January 1, 2024,~~ Install and maintain an electronic
11 global positioning system monitoring device in each vehicle that is used
12 for transport to record on-scene arrival times for response time
13 measurement. The department ~~shall~~ MAY provide a waiver on a
14 department-approved form to an ambulance service that can reasonably
15 demonstrate it is unable to meet the requirements of this paragraph
16 BECAUSE AT LEAST THIRTY PERCENT OF THE SERVICE AREA DOES NOT HAVE GLOBAL
17 POSITIONING SYSTEM COVERAGE. A WAIVER ISSUED PURSUANT TO THIS PARAGRAPH
18 EXPIRES ON APRIL 1 OF EACH YEAR AND MAY BE RENEWED ANNUALLY.

19 D. At any time, the director or the director's agents may:

20 1. Inquire into the operation of an ambulance service, including a
21 person operating an ambulance that has not been issued a certificate of
22 registration or a person who does not have or is operating outside of a
23 certificate of necessity.

24 2. Conduct on-site inspections of facilities, communications
25 equipment, vehicles, procedures, materials and equipment.

26 3. Review the qualifications of ambulance attendants.

27 E. If all ambulance services that have been granted authority to
28 operate within the same service area or that have overlapping certificates
29 of necessity apply for uniform rates and charges, the director may
30 establish uniform rates and charges for the service area.

31 F. In consultation with the medical director of the BUREAU OF
32 emergency medical services and trauma system, the emergency medical
33 services council and the medical direction commission, the director of the
34 department of health services shall establish protocols for ambulance
35 services to refer and advise a patient or transport a patient by the most
36 appropriate means to the most appropriate provider of medical services
37 based on the patient's condition. The protocols shall include triage and
38 treatment protocols that allow all classifications of emergency medical
39 care technicians responding to a person who has accessed 911, or a similar
40 public dispatch number, for a condition that does not pose an immediate
41 threat to life or limb to refer and advise a patient or transport a
42 patient to the most appropriate health care institution as defined in
43 section 36-401 based on the patient's condition, taking into consideration
44 factors including patient choice, the patient's health care provider,
45 specialized health care facilities and local protocols.

46 G. The director, when reviewing an ambulance service's response
47 time compliance with its certificate of necessity, shall consider in

1 addition to other factors the effect of hospital diversion, delayed
2 emergency department admission and the number of ambulances engaged in
3 response or transport in the affected area.

4 H. The department shall incorporate all of the following factors
5 when calculating the proposed mileage rate:

6 1. The cost of licensure and registration of each ground ambulance
7 vehicle.

8 2. The cost of fuel.

9 3. The cost of ground ambulance vehicle maintenance.

10 4. The cost of ground ambulance vehicle repair.

11 5. The cost of tires.

12 6. The cost of ground ambulance vehicle insurance.

13 7. The cost of mechanic wages, benefits and payroll taxes.

14 8. The cost of loan interest related to the ground ambulance
15 vehicles.

16 9. The cost of the weighted allocation of overhead.

17 10. The cost of ground ambulance vehicle depreciation.

18 11. The cost of reserves for replacement of ground ambulance
19 vehicles and equipment.

20 I. THE DEPARTMENT SHALL:

21 1. ESTABLISH AN ONLINE CERTIFICATE OF NECESSITY APPLICATION PORTAL
22 TO ALLOW APPLICANTS TO TRACK THE STATUS OF THEIR APPLICATION AND THE
23 APPLICABLE DEADLINES AS PRESCRIBED IN RULE BY THE DEPARTMENT.

24 2. MAKE AVAILABLE TO THE PUBLIC ON THE DEPARTMENT'S PUBLIC WEBSITE
25 A DASHBOARD OF AMBULANCE SERVICE RESPONSE TIMES THAT CAN BE REVIEWED BY
26 CALL TYPE AND THE PERCENTAGE OF CALLS THAT REQUIRED ADVANCED LIFE SUPPORT
27 SERVICES.

28 Sec. 5. Section 36-2233, Arizona Revised Statutes, is amended to
29 read:

30 36-2233. Certificate of necessity to operate an ambulance
31 service; application; notification of interested
32 parties; exceptions; service areas

33 A. Any person wishing to operate an ambulance service in this state
34 shall apply to the department on a form prescribed by the director for a
35 certificate of necessity.

36 B. Within one hundred eighty days after receiving an application
37 for a certificate of necessity as prescribed in this section, the director
38 shall make a determination based on whether necessity for the ambulance
39 service is found to exist and the applicant meets the requirements of
40 subsection F of this section. If the director requests additional
41 information from the applicant after initial review, the applicant ~~shall~~
42 ~~have~~ HAS thirty business days to respond. On request, the director may
43 give the applicant one additional period of thirty business days to
44 respond. If the applicant fails to respond to the director's request for
45 additional information, the department shall deem the initial or amended
46 application withdrawn. An application deemed withdrawn is not an
47 appealable agency action pursuant to title 41, chapter 6, article 10. The

1 applicant may appeal a denial only pursuant to section 36-2234. The one
2 hundred eighty-day period for the director to make the determination of
3 necessity does not include the time the applicant uses to respond to
4 requests for additional information.

5 C. On receipt of an initial or amended application for a
6 certificate of necessity, the department shall post a notice of the
7 application on its website. Within thirty days after the department posts
8 a notice pursuant to this subsection, any interested party may provide
9 information to the director on a form in a department-approved format for
10 consideration. If an interested party fails to respond to the notice
11 within sixty days in a department-approved format, the information may not
12 be considered during the review of the application.

13 D. For the purposes of this section, a city, town, fire district,
14 fire authority or tribal government whose jurisdictional boundaries in
15 whole or in part are within the service area of a certificate of
16 necessity, an existing certificate of necessity holder within the service
17 area of the certificate of necessity or a hospital that is licensed
18 pursuant to chapter 4 of this title and that is located within the service
19 area of a certificate of necessity is considered to be an interested party
20 as a matter of law.

21 E. All interested parties shall be notified of any application for
22 an initial or amended certificate of necessity within fifteen days after
23 the application is filed, within fifteen days after the application is
24 complete and within fifteen days after a decision by the director. The
25 director's decision pursuant to subsection F of this section is final
26 unless appealed pursuant to section 36-2234, subsection A.

27 F. The director shall issue a certificate of necessity if all of
28 the following apply:

29 1. The director finds that public necessity requires the service or
30 any part of the service proposed by the applicant.

31 2. The director finds that the applicant is fit and proper to
32 provide the service.

33 3. The applicant has paid the appropriate fees pursuant to section
34 36-2240.

35 4. The applicant has filed a surety bond pursuant to section
36 36-2237.

37 G. THE DIRECTOR MAY NOT REQUIRE AN APPLICANT TO PURCHASE EQUIPMENT,
38 AMBULANCES OR OTHER VEHICLES BEFORE APPROVING THE CERTIFICATE OF NECESSITY
39 IF THE APPLICANT CAN DEMONSTRATE THE ABILITY TO PROVIDE ALL SERVICES
40 REQUIRED PURSUANT TO A CERTIFICATE OF NECESSITY ISSUED PURSUANT TO THIS
41 ARTICLE.

42 ~~H.~~ H. A certificate of necessity issued pursuant to subsection
43 F of this section shall be for all or part of the service proposed by the
44 applicant as determined necessary by the director for public convenience
45 and necessity.

46 I. NOTWITHSTANDING ANY OTHER REQUIREMENT OF THIS CHAPTER TO THE
47 CONTRARY, IF A GEOGRAPHIC AREA OF A CITY, TOWN OR FIRE DISTRICT HAS A

1 POPULATION OF LESS THAN TEN THOUSAND PERSONS AND IS NOT WITHIN THE SERVICE
2 AREA OF A CERTIFICATE OF NECESSITY ~~[OR THE CURRENT CERTIFICATE OF~~
3 ~~NECESSITY HOLDER HAS NOT MET THE REQUIREMENTS OF THE CERTIFICATE OF~~
4 ~~NECESSITY FOR AT LEAST SIX MONTHS]~~, THE DIRECTOR MAY ISSUE A CERTIFICATE
5 OF NECESSITY TO THE CITY, TOWN OR FIRE DISTRICT OR A PRIVATE AMBULANCE
6 SERVICE TO PROVIDE AMBULANCE SERVICES TO THAT GEOGRAPHIC AREA IF THE CITY,
7 TOWN OR FIRE DISTRICT OR THE PRIVATE AMBULANCE SERVICE CAN DEMONSTRATE THE
8 ABILITY TO PROVIDE ALL SERVICES REQUIRED PURSUANT TO A CERTIFICATE OF
9 NECESSITY ISSUED PURSUANT TO THIS ARTICLE.

10 [J. IF A GEOGRAPHIC AREA OF A CITY, TOWN OR FIRE DISTRICT HAS A
11 POPULATION OF LESS THAN TEN THOUSAND PERSONS AND HAS A CURRENT CERTIFICATE
12 OF NECESSITY HOLDER THAT HAS NOT MET THE CERTIFICATE OF NECESSITY
13 CONDITIONS FOR AT LEAST TWELVE MONTHS, THE DIRECTOR MAY ISSUE A
14 CERTIFICATE OF NECESSITY TO A CITY, TOWN OR FIRE DISTRICT OR PRIVATE
15 AMBULANCE SERVICE TO PROVIDE AMBULANCE SERVICES TO THAT GEOGRAPHIC AREA IF
16 THE CITY, TOWN OR FIRE DISTRICT OR PRIVATE AMBULANCE SERVICE CAN
17 DEMONSTRATE THE ABILITY TO PROVIDE ALL SERVICES REQUIRED PURSUANT TO A
18 CERTIFICATE OF NECESSITY ISSUED PURSUANT TO THIS ARTICLE.]

19 ~~H.~~ [J.] [K.] This section does not require a certificate of
20 necessity for:

21 1. Vehicles and persons that are exempt from a certificate of
22 registration pursuant to section 36-2217.

23 2. Ambulance services operating under temporary authority pursuant
24 to section 36-2242.

25 ~~I.~~ [K.] [L.] The director may grant a service area by one or any
26 combination of the following descriptions:

27 1. Metes and bounds.

28 2. A city, town or political subdivision not limited to a specific
29 date. The merger or consolidation of two or more fire districts pursuant
30 to section 48-820 or 48-822 does not expand the service area boundaries of
31 an existing certificate of necessity.

32 3. A city, town or political subdivision as of a specific date that
33 does not include annexation.

34 Sec. 6. Section 36-2234, Arizona Revised Statutes, is amended to
35 read:

36 36-2234. Hearings; waiver of hearing; appeals; emergency
37 action; suspension; judicial review; definition

38 A. The applicant or any certificate of necessity holder whose
39 ambulance service area in whole or in part is within the affected service
40 area of the initial or amended certificate of necessity may appeal
41 pursuant to title 41, chapter 6, article 10 the director's determination
42 within thirty days after the decision. If an appeal is made, the director
43 shall require THAT a public hearing be held within one hundred twenty days
44 after the hearing notice is issued on the director's determination on the
45 initial or amended certificate of necessity.

46 B. For the purposes of any hearing held pursuant to this section, a
47 city, town, fire district, fire authority or tribal government whose

1 jurisdictional boundaries in whole or in part are within the service area
2 of a certificate of necessity, an existing certificate of necessity holder
3 within the service area of the certificate of necessity or a hospital that
4 is licensed pursuant to chapter 4 of this title and that is located within
5 the service area of a certificate of necessity is considered to be an
6 interested party as a matter of law.

7 C. The director shall require a public hearing on any proposed
8 action relating to an adjustment of general public rates, charges or
9 certificate of necessity transfers unless subsection E, G or ~~P~~ P of this
10 section applies.

11 D. An appeal pursuant to subsection A of this section or a public
12 hearing held pursuant to subsection C of this section shall meet the
13 following requirements:

14 1. The hearing shall be held pursuant to title 41, chapter 6,
15 article 10, except as specifically provided in this section.

16 2. The director shall mail notice of the hearing to every ambulance
17 service in the affected region and every interested party as specified in
18 subsection B of this section not later than fifteen days before the
19 hearing.

20 3. The director may mail notice to other persons who the director
21 determines are interested in the hearing.

22 4. In a hearing or rehearing conducted pursuant to this article, an
23 ambulance service may be represented by a corporate officer, an employee
24 or a designee who has been specifically authorized by the ambulance
25 service to represent it.

26 5. FOR AN APPEAL PURSUANT TO SUBSECTION A OF THIS SECTION, AN
27 AMBULANCE SERVICE IN THE AFFECTED REGION AND EACH INTERESTED PARTY AS
28 SPECIFIED IN SUBSECTION B OF THIS SECTION HAVE SEVEN DAYS AFTER RECEIVING
29 THE HEARING NOTICE MAILED PURSUANT TO PARAGRAPH 2 OF THIS SUBSECTION TO
30 INTERVENE.

31 ~~5.~~ 6. A certificate of necessity appeal hearing may not last more
32 than five consecutive business days unless the administrative law judge
33 determines, in writing, on the final day of the hearing that there is an
34 extraordinary need for additional hearing days. The administrative law
35 judge in that case may add up to five additional consecutive business days
36 for the hearing. The additional hearing days shall be calendared within
37 thirty days after the end of the initial hearing.

38 ~~6.~~ 7. The administrative law judge of the office of administrative
39 hearings shall issue a written decision within twenty days after the
40 hearing is concluded. The written decision shall contain a concise
41 explanation of the reasons supporting the decision, including the findings
42 of fact and conclusions of law. The administrative law judge shall serve
43 a copy of the decision on the department and all parties to the action.
44 On request of the department, the office of administrative hearings shall
45 also transmit to the department the record of the hearing as described in
46 section 12-904. A copy of the administrative law judge's decision is

1 deemed sent on personal delivery of the decision or five days after the
2 decision is mailed to the director.

3 ~~7.~~ 8. Within thirty days after the date the office of
4 administrative hearings sends a copy of the administrative law judge's
5 decision to the department, the director shall review the decision and
6 accept, reject or modify the decision. If the director rejects or
7 modifies the decision, the director must file with the office of
8 administrative hearings and serve on all parties a copy of the
9 administrative law judge's decision with the director's rejection or
10 modification and a written justification setting forth the reasons for the
11 rejection or modification of each finding of fact or conclusion of law.
12 If there is a rejection or modification of a conclusion of law, the
13 written justification shall be sent to the president of the senate and the
14 speaker of the house of representatives.

15 ~~8.~~ 9. If the director does not accept, reject or modify the
16 administrative law judge's decision within thirty days after the date the
17 office of administrative hearings sends a copy of the administrative law
18 judge's decision to the director, as evidenced by receipt of such action
19 by the office of administrative hearings on or before the thirtieth day,
20 the office of administrative hearings shall certify the administrative law
21 judge's decision as the final administrative decision.

22 ~~9.~~ 10. The decision entered as specifically provided by this
23 subsection is the final administrative decision.

24 E. The director may waive the hearing required under subsection C
25 of this section if notification, including a general description of the
26 proposed action of the department and the time and manner for any
27 interested person to request a hearing, is given and all of the following
28 apply:

29 1. Notification of the proposed action has been sent to every
30 ambulance service in the affected region not later than fifteen days
31 before the action.

32 2. The director has notified other persons who the director
33 determines are interested in the proposed action not later than fifteen
34 days before the action.

35 3. The director has published notice of the proposed action in a
36 newspaper of general circulation in the affected region at least once each
37 week for two consecutive weeks before the action is taken.

38 4. The director has received no requests within the fifteen-day
39 notification period for a hearing to be held on the proposed action.

40 F. If the director receives a request pursuant to subsection E,
41 paragraph 4 of this section, the director shall hold a hearing in
42 compliance with subsection D of this section.

43 G. The director shall not hold a hearing if a person requests a
44 hearing regarding a rate increase that does not exceed the amount computed
45 as follows:

46 1. Determine the percentage growth in the transportation consumer
47 price index of the United States department of labor, bureau of labor

1 statistics, from the end of the second preceding calendar year to the
2 calendar year immediately preceding the calendar year for which the rate
3 increase is requested.

4 2. Determine the percentage growth in the medical care consumer
5 price index of the United States department of labor, bureau of labor
6 statistics, from the end of the second preceding calendar year to the
7 calendar year immediately preceding the calendar year for which the rate
8 increase is requested.

9 3. Add the amount determined in paragraph 1 of this subsection to
10 the amount determined in paragraph 2 of this subsection and divide the sum
11 by two.

12 H. A rate increase authorized pursuant to subsection G of this
13 section is deemed to be fixed by the department at the requested level.
14 Notwithstanding subsection E of this section, the department shall hold a
15 hearing pursuant to section 36-2232, subsection E for any proposed uniform
16 rate or charge that exceeds the annual rate increase prescribed in
17 subsection G of this section. The department shall require the applicants
18 to submit the following information signed by the designated financial
19 officer and the chief executive of the ambulance service who has fiduciary
20 responsibility for providing accurate financial information:

21 1. A financial statement for the previous twenty-four months
22 relating to the certificated areas.

23 2. Any additional information the department requires to analyze
24 the request.

25 I. If an ambulance service with an established general public rate
26 applies for a contract rate or range of rates that is up to thirty percent
27 less than its established rate, the director shall grant the rate without
28 a public hearing or waiver, and without any right of intervention, unless
29 within ninety days after the filing of a completed application the
30 director determines that the contract rate or range of rates applied for
31 does not accurately reflect the cost and economics of providing the
32 contract services, would adversely affect the service available to the
33 general public in the area of service as designated by its certificate of
34 necessity or would cause any fixed rate, fare or charge to the general
35 public to be adversely affected.

36 J. If the department disallows a proposed contract rate pursuant to
37 subsection I of this section, the ambulance service has a right to a
38 hearing for review of the proposed contract rate or range of rates.

39 K. The director may adopt rules for the establishment of a contract
40 rate or range of rates that may be implemented and that exceeds the thirty
41 percent rate variance identified pursuant to subsection I of this section.

42 L. Subsections I, J and K of this section are limited to contract
43 rates or a range of rates applied for prescheduled, interfacility or
44 convalescent transports.

45 M. A service contract between an ambulance service and a political
46 subdivision of this state, including local fire districts, shall be filed

1 with and approved by the department in accordance with the following
2 requirements:

3 1. On receipt of the proposed contract, the department has fifteen
4 days to review the contract and notify the ambulance service of any
5 additional information the department requires, recommended corrections or
6 any provision that does or may violate this article.

7 2. The ambulance service has fifteen days to provide the department
8 with the information requested or to submit a revised or amended contract
9 if required under paragraph 1 of this subsection.

10 3. The contract becomes effective fifteen days after the ambulance
11 service complies with the department's request unless the department
12 determines that any rate or charge or other provisions specified in the
13 contract will cause any fixed rate or charge to the general public rate to
14 be adversely affected or the contract would be in violation of the
15 ambulance service's certificate of necessity.

16 4. If the department disallows a proposed contract pursuant to this
17 subsection, the ambulance service has a right to a hearing for review of
18 the proposed contract.

19 5. The rates and charges contained in the contract are the rates
20 and charges fixed by the director in a decision or order for the ambulance
21 service and conform to the ambulance service's current or subsequent
22 general public rates and charges.

23 6. The area of response is within the ambulance service's
24 certificated area.

25 N. In case of emergency, the director may take action providing for
26 immediate suspension of a certificate of registration or a certificate of
27 necessity, or both, under this section without notice or a hearing if the
28 director determines that a potential threat to the public health and
29 safety exists. If such an action is taken by the director, the director
30 shall conduct a hearing within ten days after the date of the director's
31 action unless the person against whom the action is directed waives the
32 right to have a hearing held within ten days. If the ten-day hearing
33 requirement is waived, the director shall set a date mutually agreeable to
34 the interested parties. The purpose of the hearing is to review the
35 decision of the director to take such an action. The director shall make
36 findings of fact and may continue, suspend or modify the director's
37 action.

38 O. THE DIRECTOR SHALL ASSESS A CIVIL PENALTY OF \$1,500 ON AN
39 AMBULANCE SERVICE IF THE AMBULANCE SERVICE IS NOT COMPLYING WITH THE
40 CERTIFICATE OF NECESSITY'S REQUIREMENTS. THE CERTIFICATE OF NECESSITY
41 HOLDER MAY APPEAL THE DIRECTOR'S DECISION PURSUANT TO THIS SUBSECTION BY
42 REQUESTING A HEARING PURSUANT TO TITLE 41, CHAPTER 6, ARTICLE 10.

43 ~~P.~~ P. The director shall waive the hearing required under
44 subsection C of this section if geographic changes in suboperation
45 stations do not alter the service area or adversely affect approved
46 response times.

1 ~~P.~~ Q. Except as provided in section 41-1092.08, subsection H, a
2 final decision of the director relating to an adjustment of general public
3 rates, charges or certificate of necessity transfers is subject to
4 judicial review pursuant to title 12, chapter 7, article 6.

5 ~~R.~~ R. The final administrative decision of the director or the
6 administrative law judge as prescribed in subsection D of this section for
7 an initial or amended certificate of necessity is subject to judicial
8 review pursuant to title 12, chapter 7, article 6.

9 ~~R.~~ S. For the purposes of this section, "hearing day":

10 1. Means any portion of a business day that is used for any
11 hearing-related activity, including testimony, argument or presentation of
12 evidence.

13 2. Does not include prehearing conferences or other administrative
14 matters that occur before the start of the hearing.

15 Sec. 7. Section 36-2235, Arizona Revised Statutes, is amended to
16 read:

17 36-2235. Terms of certificates of necessity; initial term;
18 renewal

19 A. The initial certificate of necessity issued pursuant to section
20 36-2233 to each ambulance service shall be for a term of one year.

21 B. On the expiration of a certificate of necessity, if the holder
22 of the certificate OF NECESSITY meets all requirements, applies for a
23 renewal and pays the fees prescribed in section 36-2240, the director
24 shall renew the certificate OF NECESSITY for a term of three years without
25 public hearing or waiver unless cause is shown to set a hearing to
26 consider denial or renewal for a shorter term.

27 C. If the director does not conclude a hearing to show cause within
28 ninety days of the expiration date of the certificate OF NECESSITY, the
29 certificate OF NECESSITY shall be renewed for a period of ~~not less than~~ AT
30 LEAST one year. The term of the certificate OF NECESSITY shall be
31 ~~extended to~~ RENEWED FOR three years if the director determines that cause
32 is not established for denial or renewal for a shorter term. For the
33 purposes of this subsection, "hearing to show cause" means a hearing
34 ordered by the director pursuant to section 36-2245 to determine ~~if~~
35 WHETHER any grounds exist to prevent an ambulance service from carrying
36 out ~~the provisions of~~ subsection B of this section during the current term
37 of the certificate OF NECESSITY.

38 D. THE DIRECTOR SHALL BASE ALL DECISIONS RELATING TO THE RENEWAL OF
39 A CERTIFICATE OF NECESSITY ON CURRENT DATA.

40 Sec. 8. Section 36-2236, Arizona Revised Statutes, is amended to
41 read:

42 36-2236. Certificates of necessity; nature; transfer;
43 suspension; service area; population changes

44 A. A certificate of necessity issued pursuant to this article is
45 not a franchise, may be revoked by the director and does not confer a
46 property right on its holder.

1 B. A certificate of necessity shall not be assigned or otherwise
2 transferred without the written approval of the director. When any
3 certificate OF NECESSITY is assigned or transferred, the director shall
4 issue to the assignee or transferee a new certificate OF NECESSITY that is
5 valid only for the unexpired term of the transferred or assigned
6 certificate OF NECESSITY.

7 C. In case of emergency, the director may suspend a certificate of
8 necessity as provided in section 36-2234.

9 D. If a certificate of necessity issued pursuant to this article is
10 issued to a city, town, fire district, fire authority or other political
11 subdivision of this state, the service area shall be all the geographic
12 area lying within the jurisdictional boundaries of the city, town, fire
13 district, fire authority or political subdivision, unless the certificate
14 OF NECESSITY issued by the director specifically excludes a portion of the
15 city, town, fire district, fire authority or political subdivision or
16 includes an additional service area outside the jurisdictional boundaries
17 of the city, town, fire district, fire authority or other political
18 subdivision. If the jurisdictional boundaries of a city, town, fire
19 district, fire authority or other political subdivision expand, the
20 service area in the certificate of necessity expands to reflect those
21 jurisdictional boundaries, except as prescribed in section 36-2233,
22 subsection ~~1~~ [K] [L], paragraph 2. This subsection does not affect the
23 validity of any previously granted certificate OF NECESSITY for an
24 unincorporated area lying within the boundaries of a city.

25 E. If the population of a service area changes by ten percent or
26 more based on the most recent decennial census or five-year census
27 estimate, the department must conduct a review to determine whether
28 adjustments must be made to the response times in the service area, taking
29 into consideration the impact on rates and charges.

30 Enroll and engross to conform
31 Amend title to conform

JULIE WILLOUGHBY

2402FloorWILLOUGHBY
02/23/2026
4:50 PM
C: MH
130FDDV NK